Alamos Gold Inc. (NYSE/TSX: AGI)

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RATING	CLOSING PRICE
Buy	**USD 30.21**
PRICE TARGET	IMPLIED ALL-IN RETURN
USD 39.00	**29.6%**

Investment summary

Alamos Gold is a Canadian gold producer with three operating districts: Island Gold and Young-Davidson in Ontario, and Mulatos in Mexico. It produced 545,400 oz in 2025 at an AISC of US$1,524/oz and holds 15.9 Moz of Mineral Reserves. In July, Alamos cut 2026 guidance to 510,000–560,000 oz and raised AISC to US$1,775–1,875/oz. The main causes were a June seismic event at Young-Davidson and slower recoveries at La Yaqui Grande.

We view 2026 as the trough year in a growth plan that is now largely built. The Phase 3+ shaft at Island Gold is sunk, with commissioning in Q1 2027 and mining rates rising to 2,400 tpd. The Magino mill expansion to 20,000 tpd follows in Q1 2028, and PDA in Mexico starts in mid-2027. We model 640,000 oz in 2027 and 770,000 oz in 2028, below the original guidance ranges. AISC falls from about US$1,825/oz this year to US$1,350/oz by 2028 as lower-cost ounces arrive.

Upcoming potential catalysts and milestones include: (1) Q3 2026 results and conference call (Oct 28–29, 2026); (2) Phase 3+ shaft equipping complete (4Q26); (3) Young-Davidson back to about 5,000 tpd after the seismic event (2H26); (4) new three-year guidance (early 2027); (5) Phase 3+ shaft commissioning at Island Gold (1Q27); (6) PDA first production in the Mulatos District (mid-2027); (7) Magino mill expansion to 20,000 tpd (1Q28); and (8) Lynn Lake first production (1H29).

Valuation

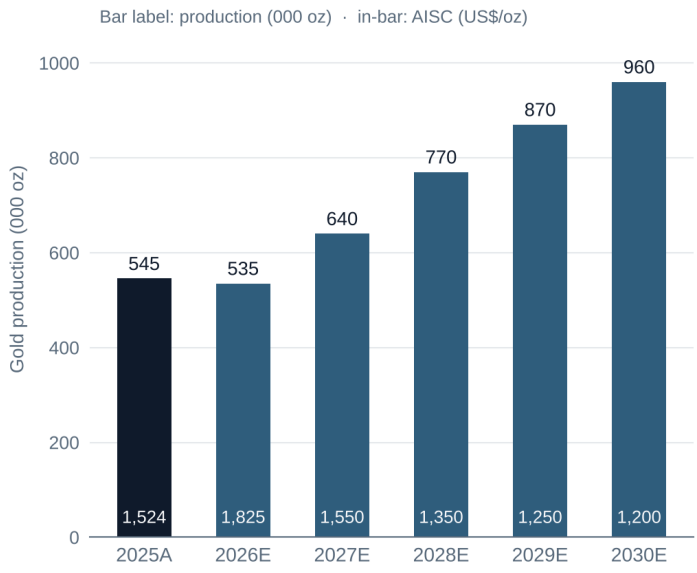
Our US$39.00 price target is a 50/50 blend of 1.0x our NAV5% of US$42.35 and 10x our 2027E CFPS of US$3.50. Our NAV uses US$4,000/oz gold in 2027, falling to US$3,500/oz long term, below today's spot price near US$4,000. At US$30.21, Alamos trades at 0.71x NAV and 8.6x 2027E cash flow, falling to 7.2x by 2028. On annualized Q2 results it screens expensive versus Agnico and Kinross, as the market looks through a trough year (Exhibit 2). Our Buy rating reflects a 29.6% implied all-in return, well above our 15% threshold.

Margin expansion matters more than volume. At our deck, falling AISC lifts free cash flow from about US$364 million in 2026 to US$935 million in 2028, even as Lynn Lake spending continues.

Risks to rating and price target

In addition to general operating, financing and commodity risks, we highlight: (1) gold prices, where each US$500/oz change in our flat deck moves NAV by about US$9–11 per share; (2) further seismic or ground-control events at Young-Davidson; (3) delays or cost overruns at the Phase 3+ shaft, the Magino mill expansion or Lynn Lake, where initial capital rose to US$937 million; (4) Mexican tax, royalty and permitting changes at Mulatos; (5) wildfire and weather disruption in northern Manitoba and Ontario; and (6) continued recovery issues at La Yaqui Grande.

Exhibit 1 - Production rises as AISC falls through 2030



2025A reported; 2026E–2030E Northwall estimates, below management's ~1 Moz by 2030 target. Source: company filings, Northwall estimates.

Exhibit 2 - Senior and intermediate gold peers (Q2-26 annualized)

Company	Price	Mkt cap	P/E	P/CF	AISC	FCF yld
Alamos	**30.21**	**$12.6B**	**12.8x**	**13.7x**	**$1,728**	**4.5%**
Agnico Eagle	175.69	$88.2B	14.3x	10.3x	$1,459	6.1%
Kinross	22.45	$26.6B	7.9x	5.8x	$1,821	10.9%

US$. Q2-26 adjusted EPS, operating cash flow and free cash flow annualized; AISC per oz for Q2-26. Prices as of October 26, 2026. Source: company filings.

Exhibit 3 - Northwall estimates

FY Dec	2025A	2026E	2027E	2028E
Gold price (US$/oz)	3,372	4,420	4,000	3,800
Production (000 oz)	545	535	640	770
AISC (US$/oz)	1,524	1,825	1,550	1,350
Adj. EPS (US$)	1.40	2.22	2.58	3.10
CFPS (US$)	1.89	2.61	3.50	4.21
Free cash flow (US$M)	352	364	516	935
P/CF	16.0x	11.6x	8.6x	7.2x

2025A realized gold price; 2026E includes reported H1 results. Source: company filings, Northwall estimates.

Ratings: Buy, expected 12-month total return above 15%; Hold, 0–15%; Sell, below 0%. Facts are from company filings; estimates, target and rating are Northwall Research opinions. The analyst certifies these views are their own. Not investment advice.